

with unregistered finfluencers.

“No Sebi-registered intermediaries/regulated entities or their agents/representatives shall, directly or indirectly, have any association/relationship in any form, whether monetary or non-monetary, for any promotion or advertisement of their services/products, with any unregistered entities (including finfluencers),” stated the consultation paper.

Interestingly, the regulator has also reached out to content creator platforms that offer influencers backend support like community management and monetisation. The regulator has asked such platforms to ensure that they allow only registered financial influencers, and the effect is already visible.

Vivek Yadav, Co-founder and CEO of Cosmofeed, one of the largest content creator platforms in the country, says the last few months have been a great learning curve and the market regulator has been working in the right direction. “We introduced a slew of features to enhance the safety of the end consumer, including a Sebi Registration Badge that differentiates a verified creator from an unverified one so that consumers can make informed decisions. Before granting the verified badge, our team diligently verifies and confirms the licences of finfluencers,” says Yadav.

Similarly, Ananya Singhal, Co-founder and COO of Rigi, another content creator platform, feels that in the evolving financial content landscape, regulators like Sebi and the Advertising Standards Council of India (ASCI) are proactively shaping an ecosystem rooted in trust and transparency.

“Aligned with this vision, we at Rigi are continuously refining our code of conduct, ensuring it mirrors the progressive directives set by the regulators... we are committed to collaborating closely with influencers, Sebi, and the public to create a future where knowledge thrives in an environment of trust,” says Singhal.

But, experts also say the regulator must perform a fine balancing act so that its framework does not kill genuine finfluencers by overburdening them with compliance requirements.

THE BALANCING ACT

“Financial influencers today have a significant say in the financial decisions of retail investors,” says Sumit Agrawal, Founder, Regstreet Law Advisors.

“Sebi, while bringing necessary regulations, should not overlook the role played by these influencers in increasing financial literacy of the masses and should balance the different roles played by them,” adds Agrawal, who was formerly part of Sebi’s legal department.

What International Regulators are Doing

▶ The International Organization of Securities Commissions (IOSCO) is holding discussions on unregistered finfluencers

▶ In December 2022, SEC charged eight influencers in a \$100 million stock manipulation scheme

▶ The UK’s FCA has a mechanism for finfluencers to check if they are eligible to promote a product

▶ Australia’s ASIC mandates Australian financial services (AFS) licence for finfluencers

“... FINFLUENCERS NOT REGISTERED WITH THE... REGULATOR MAY NOT HAVE THE REQUISITE...EXPERTISE ON THE SUBJECT. WORSE... THEY MAY NOT DISCLOSE ANY POTENTIAL CONFLICT OF INTEREST...”

SEBI CONSULTATION PAPER

“CELEBRITIES SHALL NOT FORM PART OF ADVERTISEMENTS...‘CELEBRITY’ MEANS AND INCLUDES ANY PERSON...WHO IS AN INFLUENCER WITH MORE THAN 10 [LAKH] FOLLOWERS/SUBSCRIBERS ON ANY SOCIAL MEDIA PLATFORM...”

NSE’S REVISED CODE OF ADVERTISEMENT FOR BROKERAGES